

Power Finance Corporation Ltd

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ROE

N/A

ROCE

N/A

REVENUE CAGR 5Y

11.1%

NET PROFIT

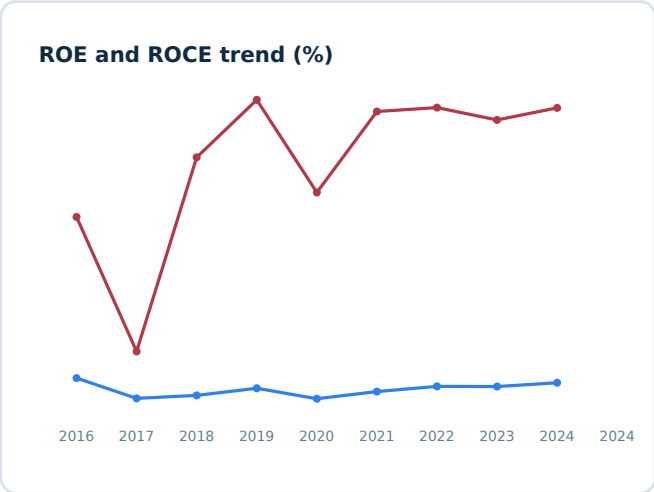
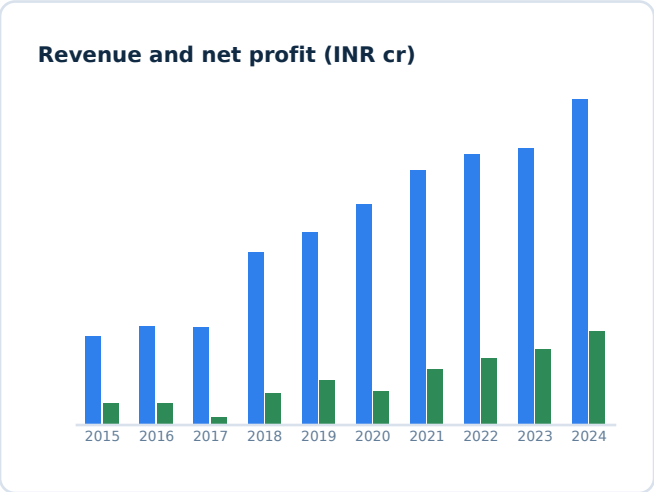
26,461 cr

DEBT / EQUITY

8.3x

BORROWINGS

910,447 cr

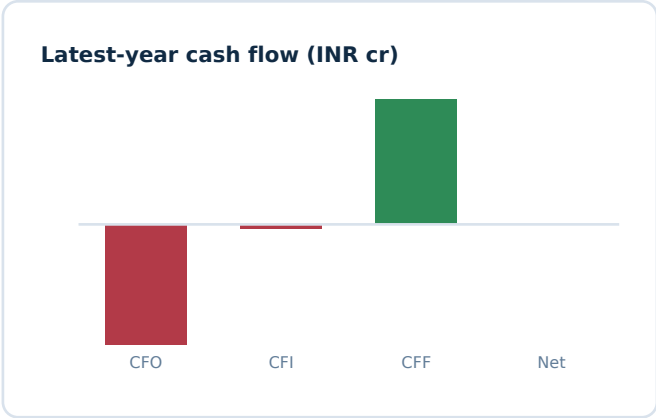
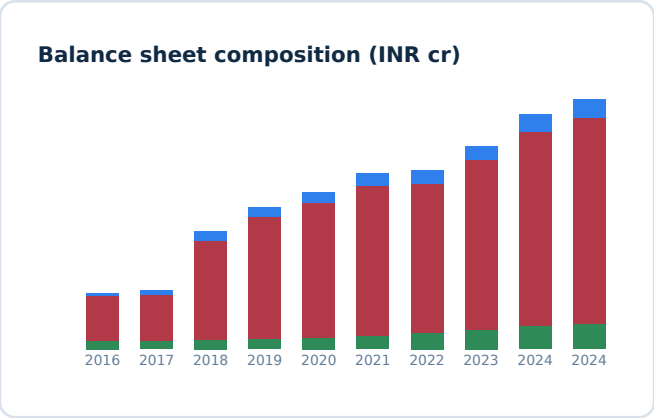


Coverage: 10 annual observations shown; latest financial year: 2024-03

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Pros

- Consistently high return on equity above 20% demonstrates exceptional capital efficiency
- Operating profit margin above 25% indicates strong pricing power and cost discipline
- Return on equity improving for 3 consecutive years shows strengthening business quality
- Revenue growing slower than profits shows improving operating leverage and scale benefits

Cons

- Free cash flow negative for 3 consecutive years raises concern about cash generation quality
- Operating margins declining for 3 consecutive years suggest pricing or cost pressure
- Interest coverage ratio below 1.5x indicates the company is at risk of not meeting its debt obligations
- Rising debt-to-equity ratio over 3 years suggests increasing financial leverage risk
- Return on capital employed below 10% suggests the business is not generating sufficient returns on invested capital
- Net debt exceeding 3 times EBITDA is a high leverage ratio and limits financial flexibility

CAPITAL ALLOCATION

Growth Funded by Debt

Source: canonical Nifty 100 SQLite financial statements and generated intelligence outputs.